



CONSUMER EDUCATION LITERATURE

This document has been framed in accordance with **Clause 17** of the *Master Direction – Reserve Bank of India (Non-Banking Financial Companies – Income Recognition, Asset Classification and Provisioning) Directions*, dated November 28, 2025, which emphasizes on the importance of consumer education. It mandates that lending institutions must publish **Consumer Education Literature** on their websites to enhance borrower awareness regarding the concepts of overdue accounts, Special Mention Account (SMA) and Non-Performing Asset (NPA) classification, as well as the process of upgradation.

1. INTRODUCTION

LRSD is a private limited company incorporated under the Companies Act, 2013 and registered with the Reserve Bank of India (“RBI”) as a non-deposit taking Non-Banking Finance Company- Middle Layer (NBFC-ML).

The Reserve Bank of India has directed all NBFCs to provide clear and simple consumer education material so that customers are aware of how their loan accounts are treated in case of delays or defaults. This literature explains, in straightforward terms, what “dues,” “overdue,” “Special Mention Accounts (SMA),” and “Non-Performing Assets (NPA)” mean, how they are identified, and what borrowers can do to keep their accounts in good standing.

LRSD aims to make these concepts easy to understand, so you can manage your obligations confidently and avoid unnecessary stress.

2. UNDERSTANDING DUES, OVERDUE PAYMENTS, AND EMI BASICS

To make better understanding of how loans are repaid and late payments are monitored, there are a few key terms which as a borrower you should know:

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Corporate Off: Unit No. Silver 27/01 and 27/02 Wave One, Block L, Sector 18, Noida, Gautam Buddha Nagar, Uttar Pradesh- 201301



- **‘Due date’** means the loan amount, interest, or any fees that the borrower is required to pay within the time agreed in the **loan terms**.
- **‘Date of overdue’** refers to the day after the loan’s due date when the borrower has not made the required payment. From that day, the account is marked as **overdue**, and the tracking process begins. Depending on how many days the payment remains unpaid, the account moves through different stages — SMA0, SMA1, SMA2 — and finally NPA if the delay crosses 90 days.
- **‘Equated monthly instalments or EMI’** is the fixed amount a borrower pays every month during the loan period. It is decided based on the loan tenure and interest rate, and it includes both the principal and the interest together, payable regularly until the loan is fully repaid.

With these key terms in mind, let’s see how they operate in practice. The following illustration demonstrates how a borrower’s missed payment immediately turns into an overdue amount, how the account is tracked from the very next day, and how continued non-payment can escalate into penalties, credit score impact, and eventual classification under the SMA/NPA framework.

***Illustration:** A customer takes a loan of ₹2,50,000 on January 1, 2026, with a monthly EMI of ₹8,000, and repayment begins on February 1, 2026. If the borrower fails to pay the EMI by the due date, the unpaid amount becomes the Loan Overdue Amount, and from February 2, 2026, the account is marked overdue, which is the first day of default. Continued non-payment will cause the overdue balance to accumulate, attract late fees and penalties, and negatively affect the borrower’s credit score, while also helping lenders track repayment behaviour and assess credit risk.*



3. CLASSIFICATION OF SMA & NPA

Borrowers are required to pay the EMI or interest on or before the due date specified in the facility documents. Any delay or nonpayment shall make the borrower liable for delayed payment charges as outlined in the facility documents. Such charges may be revised and notified by LRSD from time to time, and in certain cases, the borrower may also be responsible for incidental costs or damages as stipulated in the facility documents.

When a borrower's loan account shows **signs of stress** due to default in payment of dues, it is classified as a **Special Mention Account (SMA)**. If such an account is not regularized within **90 days**, it progresses to a **Non-Performing Asset (NPA)**.

LRSD proactively identifies early signs of financial stress in borrower accounts and classifies them as SMA accounts upon the first instance of default. The SMA categorization is structured as follows:

SMA Sub-category	Basis for Classification- Overdue Period
SMA-0	Upto 30 days
SMA-1	More than 30 days and upto 60 days
SMA-2	More than 60 days and upto 90 days
NPA	More than 90 days

This classification applies to all loan accounts, regardless of LRSD exposure size. The borrower accounts are flagged as overdue and classified accordingly at the end of each business day, based on their due date status.

*For Instance, at the close of each calendar day, LRSD runs its **day-end process** to determine whether an account is overdue. If dues are not credited to the designated bank account by the completion of this process, the payment is treated as **not received**, and the account is marked as overdue.*

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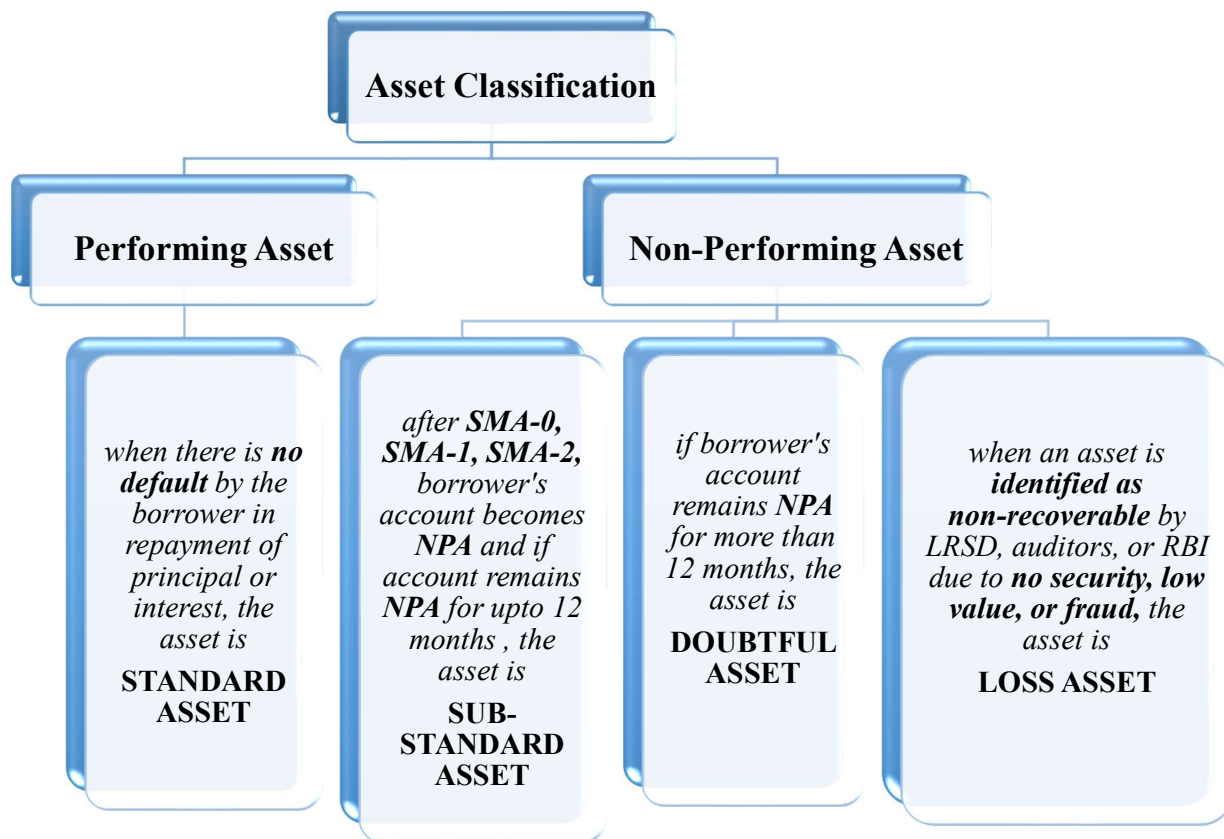
Loan accounts are monitored not only for repayment but also for early signs of stress. When dues remain unpaid beyond the scheduled date, the account is tracked according to the number of days past due. This structured monitoring ensures that borrowers are aware of the seriousness of missed payments and that lenders can take timely action. Accounts move step-by-step through Special Mention Account (SMA) categories before being classified as Non-Performing Assets (NPA) if the default continues.

Illustration of SMA/NPA Classification

If the **Due Date** of the loan account is **January 31, 2026**, the account will be classified as **SMA (Special Mention Account)** starting from **February 1, 2026**, as it becomes overdue. The classification progresses as follows:

<i>SMA-0:</i>	February 1, 2026 to March 3, 2026 (1 to 30 days overdue)
<i>SMA-1:</i>	March 4, 2026 to April 2, 2026 (31 to 60 days overdue)
<i>SMA-2:</i>	April 3, 2026 to May 2, 2026 (61 to 90 days overdue)
If the borrower fails to clear all the dues and repayment and the account remains overdue beyond May 2, 2026 it will be classified as a Non-Performing Asset (NPA) on that date (90-plus days overdue).	

4. ASSET CLASSIFICATION OF LRSD



5. UPGRADATION OF LOAN FROM 'NPA' TO 'STANDARD ASSET'

A loan or facility account classified as a Non-Performing Asset (NPA) (*overdue days > 90 days*) can be upgraded to a 'Standard Asset' (*Regular Loan*) only when the borrower clears **all arrears of principal and interest** associated with the credit facility.

- For borrowers holding **multiple credit facilities**, upgradation will be permitted only after repayment of the **entire overdue principal and interest across all facilities**.



- This provision shall remain subject to the **regulatory directions and guidelines issued by the RBI** from time to time.
- LRSD shall make provisions for standard assets at 0.40 % of the outstanding, which shall not be reckoned for arriving at net NPAs.

Illustration: When a borrower's loan account becomes an **NPA (overdue loan)**, it can only turn back into a **Standard Asset (regular loan)** once the borrower pays all pending principal and interest. If the borrower has more than one loan, every overdue amount across all loans must be cleared. This is done as per RBI rules, and LRSD also keeps a safety provision of **0.40%** on Standard Assets, which is not counted while calculating net NPAs.

6. CUSTOMER CARE CONTACT DETAILS

This Consumer Education Literature has been carefully drafted to spread awareness regarding borrower's loan facilities and help borrowers clearly understand their loan and repayment responsibilities. If required, borrowers may raise grievances or service requests through the LRSD's **Customer Connect Centre**:

- **Contact Number:** 98102 78244
- **Email:** admin@lrsdindia.com

Note: This document is a consumer education literature that is mandated by the Reserve Bank of India to promote financial literacy on asset classification and loan provisioning by Non-Banking Financial Companies (NBFCs). It helps customers understand these concepts clearly, promoting transparency and enabling them to make informed financial decisions.

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SOME FREQUENTLY ASKED QUESTION (FAQs)	
Q.1. What happens if Borrower misses his due date?	Ans. If Borrower doesn't pay by the due date, their account becomes overdue the very next day. From then, the Lender starts tracking how many days the payment has been missed and further categorizes the time frame into SMA-0, SMA-1, SMA-2 or NPA .
Q.2. What does "due date" mean?	Ans. When a Borrower enters into a loan agreement with a Lender, under the agreement, the Lender specifies the repayment schedule, including the amount and timing of instalments. The due date is the specific calendar date on which the borrower is contractually obligated to pay the Equated Monthly Instalment (EMI) , along with any applicable interest or charges , as per the sanctioned terms of the credit facility.
Q.3. What happens if multiple EMI's are missed?	Ans. Missing multiple EMIs increases borrower's overdue balance, attracts higher penalties, and quickly moves their account into SMA and then NPA classification. It also damages borrower's credit score.
Q.4. How is the borrower informed about SMA or NPA status?	Ans. LRSD tracks overdue accounts daily. Borrower will be notified through email or calls if their account moves into SMA or NPA status.
Q.5. How does missing payments affect a Borrower?	Ans. When loan instalments are not paid on the due date, the account is marked as overdue and those missed payments can result in: Late fees and penalties being charged as per the loan agreement.



	• Negative impact on the Borrower's credit score, reducing future borrowing capacity. Stricter recovery measures by the Lender, in line with the <i>Reserve Bank of India (Non-Banking Financial Companies – Income Recognition, Asset Classification and Provisioning) Directions</i>, dated November 28, 2025
Q.6. What support does LRSD provide to borrowers?	Ans. LRSD provides clear consumer education material, reminders, and customer care support. Borrowers can raise queries or grievances through the number or email provided on the website.
